CHAPTER- 3

REASONS FOR COMPETITIVE ADVANTAGES – RESOURCES, INFORMATION AND TRUST

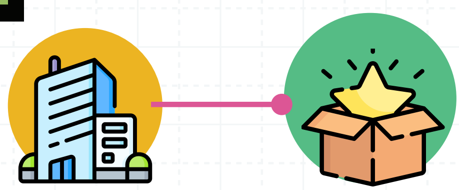
Now that we have identified why competitive advantages might exist for a company, we must look at the numbers side of things. A competitive advantage should be reflected in the financials of a company. Otherwise, it is being underutilised and does not hold much value for the shareholders.

Hence, we look at figures relating to sales, pricing power, and costs to understand how valuable a competitive advantage is.

However, we might come across certain competitive advantages that will bear fruit in future but have not yet translated into financial figures. To verify the existence of such competitive advantages, we can look at industry parameters.

NUMBERS SUGGESTING THE COMPETITIVE ADVANTAGE

If an advantage is not reflected in numbers, then there is no advantage. If a company is the cheapest producer of something, but it cannot sell more or operate at higher margins because of this, then the company does not have an advantage. This is why it is important to look at the numbers and understand how strong the advantage really is. Following are some key factors that we look at while understanding the numbers side of advantages:



Company A

Produces a product

Cost of a product	Cheaper
Selling quantity	↓
Operating margins	↑

NOT ADVANTAGEOUS